2.5. REBALANCING IN PRACTICE

Rebalancing over 1926–1940

Figure 4.5 illustrates rebalancing from 1926 to 1940, which includes the Great Depression. The companion Figure 4.6 shows rebalancing over 1990 to 2011, which includes the financial crisis and the Great Recession. In each case I rebalance to a position of 60% U.S. equities and 40% U.S. Treasury bonds and use data from Ibbotson Associates. Rebalancing occurs at the end of every quarter.

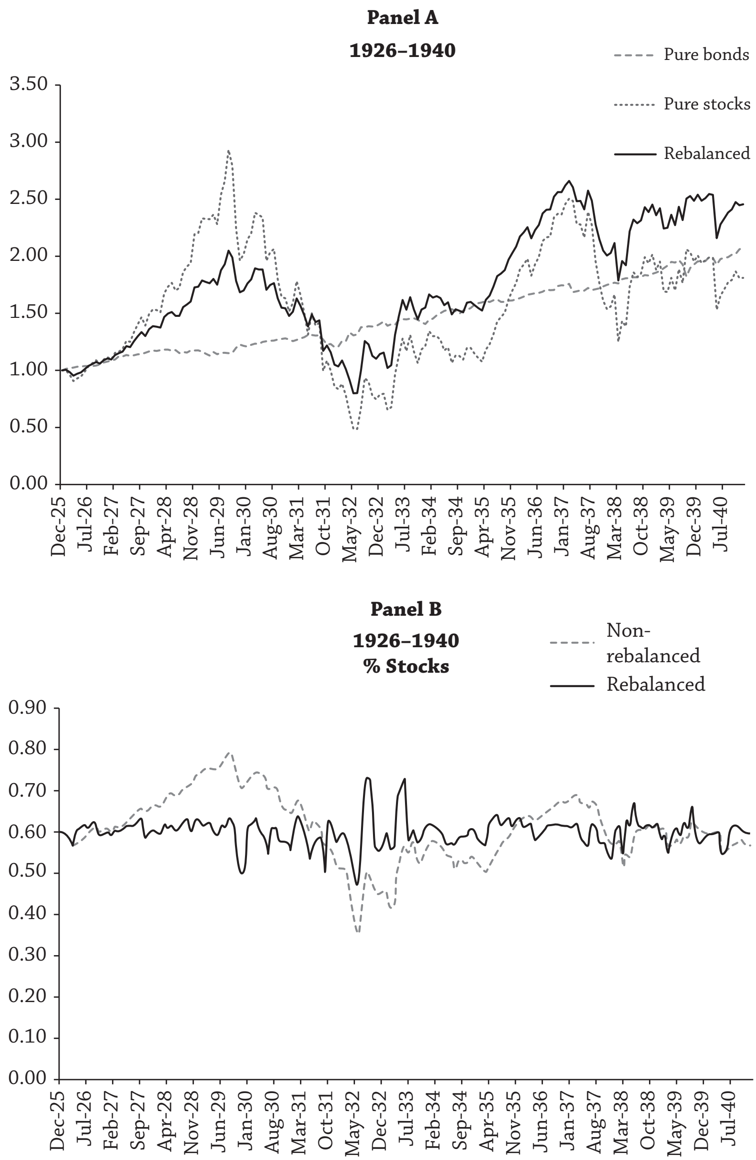

Figure 4.5